



Investment Recommendation	
Rating	BUY
CMP (\$)	254.16
Target Price (\$)	317.29
Upside (%)	24.8%
Time Horizon	12 Months

Industry	
AI Data Infrastructure Semiconductors	

Scrip Details	
Exchange / Ticker	NASDAQ: MRVL
Market Cap (\$bn)	228.8
Enterprise Value (\$bn)	231.0
Shares O/S — diluted (mn)	870
52W H/L (\$)	329.88 / 70.68
Dividend Yield	0.09%
Beta (5Y, peer-relevered)	1.76
1Y Return (%)	+240.3%
Fiscal Year End	31 January

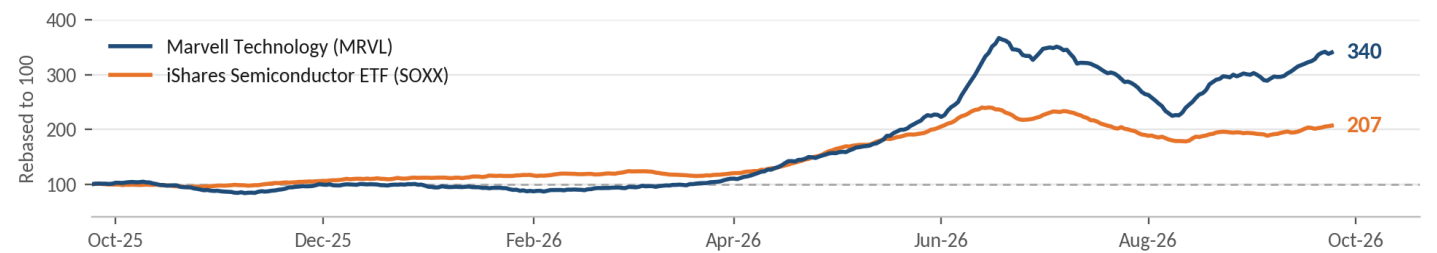
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Investment Thesis	
An AI infrastructure supplier with a legacy tail, not a diversified chip company. Data centre revenue went from 40% of the business in FY2024 to 74% in FY2026 and reaches 92% by FY2029E. The legacy drag that masked FY2024–25 growth is now too small to matter. The custom silicon ramp is contracted, not hoped for. Custom AI ASIC revenue goes from roughly \$1.6bn in FY2026 to above \$11bn in FY2029E across three hyperscaler programmes, backed by approximately \$1bn of supplier prepayments and binding capacity agreements. Optics is the business the market under-weights. An estimated 60–70% share of 800G PAM4 DSPs and a 1.6T platform already at a \$1bn run rate. At roughly \$3bn it is the larger half of the data centre segment today. Neutrality is a structural advantage. Marvell's content attaches to AI spending whether the compute socket is won by an Nvidia GPU or a custom ASIC. NVLink Fusion and Nvidia's \$2bn investment turned the largest competitive threat into a channel. Operating leverage does the work gross margin does not. Gross margin drifts to ~58%, but opex falls from 24.2% of revenue to 15.6% by FY2029E, so EBITDA margin still expands 620bps to 45.7% and EPS compounds at 53.6%. The debate is about horizon, not multiple. At 18.5x FY2029E EV/EBITDA against a 27.1x sector median, our target needs no re-rating above the peer group — only delivery of the FY2028–29E numbers.	

Key Catalysts	
Investor Day, 6 October 2026 — 12 days away. We expect a formal FY2030 revenue framework, updated custom silicon and attach TAMs, and a scale-up optics number well above the prior \$300mn FY2028 expectation. - Q3 FY2027 results (late November): \$3.15bn ±5% guidance implies 15% sequential growth, with further acceleration guided for Q4. - Custom silicon disclosures — AWS Trainium share confirmation, the Microsoft Maia ramp schedule, and conversion of the Google programme (inference accelerators, NICs, CXL, near-memory compute) carrying a warrant over up to 58.9mn shares.	

Key Risks	
Socket loss at a single hyperscaler is the thesis-breaking risk. Alchip has already taken the majority of Trainium 3 — evidence that share at the anchor customer is contestable. - AI capex deceleration: the forecast assumes sustained hyperscaler spending, and a cloud capex pause would be immediate and unhedged. - Gross margin compression below 55% if custom silicon mixes up faster than modelled, or Broadcom prices into optics. - Valuation sensitivity: at 58.6x FY2027E earnings there is no valuation support if delivery slips even two quarters. TSMC and Taiwan concentration compounds this.	

Exhibit 1: MRVL vs. SOXX — 1-Year Relative Performance (rebased to 100)



Daily closes, 24 Sep 2025 to 24 Sep 2026. 1-year return: MRVL +240.3%, SOXX +106.9%. MRVL 52-week range \$70.68–\$329.88.

Key Financial Highlights		(US\$m)				
Particulars	FY22	FY23	FY24	FY25	FY26	
Revenue	4,462	5,920	5,508	5,767	8,195	
Revenue YoY (%)	50.3	32.7	(7.0)	4.7	42.1	
EBITDA	1,731	2,404	1,899	1,969	3,240	
EBITDA (%)	38.8	40.6	34.5	34.1	39.5	
PAT	1,279	1,822	1,310	1,377	2,518	
PAT margin (%)	28.7	30.8	23.8	23.9	30.7	

Financial Estimates Summary		(US\$m)			
Particulars	FY26A	FY27E	FY28E	FY29E	
Revenue	8,195	12,037	18,180	26,336	
Revenue growth (%)	42.1	46.9	51.0	44.9	
EBITDA	3,240	4,873	7,796	12,048	
EBITDA margin (%)	39.5	40.5	42.9	45.7	
PAT	2,518	3,842	6,230	9,567	
EPS (\$)	2.89	4.34	6.98	10.47	
P/E at CMP (x)	87.8	58.6	36.4	24.3	
EV/EBITDA at CMP (x)	68.9	45.8	28.6	18.5	

Earnings are on an adjusted (non-GAAP) basis. Marvell reported GAAP net losses in FY2023–25; the gap between the two bases is unusually wide and is discussed on page 8.

Marvell is a fabless designer of data infrastructure semiconductors that has, over five years, converted itself from a diversified supplier of storage, networking and consumer silicon into an AI data centre platform. That transformation is now essentially complete: data centre revenue was 35% of the total in FY2021 and 74% in FY2026, and we model 92% by FY2029E. Our thesis is that the market is pricing this company on the credibility of a three-year ramp it can already partly verify, and that the verification points arrive faster than the multiple assumes.

1. The Business Has Already Changed — The Legacy Drag Is Behind It

The most common analytical error on Marvell is to look at the FY2024–FY2025 revenue record and conclude the company is cyclical. Revenue fell 7.0% in FY2024 and grew only 4.7% in FY2025. Both numbers are artefacts of two businesses moving in opposite directions inside one reported line.

Over FY2023–FY2025 carrier infrastructure revenue collapsed from \$1,084mn to \$338mn, a 69% decline, and enterprise networking fell 54% from \$1,369mn to \$626mn. Consumer halved. Those businesses shed roughly \$1.9bn in two years, while data centre revenue grew from \$2,409mn to \$4,164mn. The composite looked flat; neither component was.

The reason this matters now is arithmetic. Communications & Other is \$2.1bn against a \$8.2bn company in FY2026 — roughly a quarter of revenue — and management guides it to grow approximately 10% in FY2027. By FY2029E it is 8% of revenue in our model. **A segment that small can no longer disguise what the data centre business is doing, in either direction.** The years in which Marvell's reported growth understated its underlying growth are over, and FY2026's 42.1% print is the first clean read on the company that now exists.

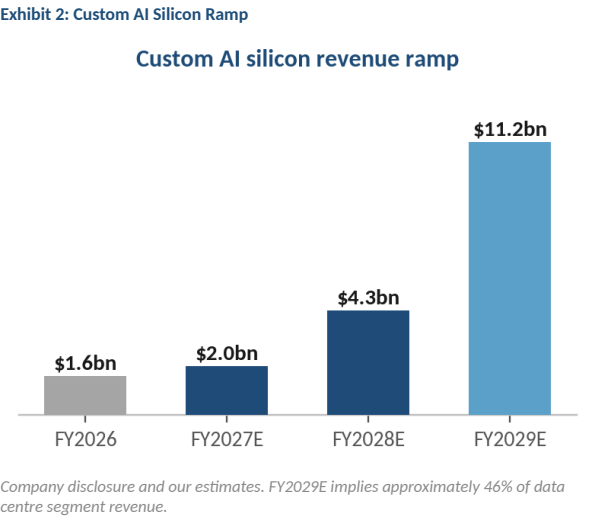
The question on Marvell is not whether the transformation happened — the segment data settles that. It is whether the custom silicon ramp that the transformation was built to capture converts on schedule, and what an investor should pay today for three years of that conversion.

2. Custom Silicon — The \$11bn Line Item

Custom AI ASICs are the largest single growth vector in the model and the one that carries the most execution risk. Revenue goes from roughly \$1.6bn in FY2026 to approximately \$2.0bn in FY2027E, \$4.3bn in FY2028E and above \$11bn in FY2029E. By FY2029E this one product line is larger than the entire company was in FY2026, and it becomes the largest data centre sub-segment at roughly 46% of segment revenue, displacing interconnect.

The ramp rests on three concurrent programmes rather than one. In FY2027 AWS Trainium is over two-thirds of custom silicon revenue; by FY2028 that falls to approximately 50% as Microsoft Maia and XPU-attach products scale. The Google programmes — inference accelerators, NICs, CXL, memory acceleration and potentially custom switching — inflect in FY2029, and management has been explicit that the FY2028 guidance does not lean on Google. That sequencing matters: it means the FY2028 number is underwritten by programmes already in production, and Google is the FY2029 swing factor rather than a load-bearing assumption in the nearer year.

Two pieces of evidence separate this from a forecast. First, management disclosed approximately \$1bn of supplier prepayments to secure manufacturing capacity — a cash commitment that is difficult to reconcile with anything other than contracted volume. Second, the long-term agreements with AT&S for IC substrates in Kulim and with GlobalFoundries for silicon germanium in Vermont, both expanded in September 2026, secure the specific process inputs the ramp consumes.



Q2 FY2027 Scorecard	
Total revenue	\$2.74bn (+37%)
Data centre revenue	\$2.17bn (+46%)
Data centre % of total	79%
Comms & Other	\$568mn
Non-GAAP gross margin	58.9%
Non-GAAP operating margin	36.6%
Non-GAAP EPS	\$0.94
Q3 revenue guidance	\$3.15bn ±5%
Q3 EPS guidance	\$1.05–\$1.15

Reported 27 August 2026. FY2027 and FY2028 revenue guidance were both raised at this print.

3. Electro-Optics — The Half of the Business That Is Already Winning

If custom silicon is the growth story, optics is the quality story, and it is the part of Marvell we think is most consistently under-weighted. At approximately \$3bn in FY2026 the optics franchise is roughly half of data centre revenue — larger, today, than custom silicon — and Marvell's position in it is dominant rather than contested. The company holds an estimated 60–70% share of the 800G PAM4 DSP market, has shipped over five million coherent photonic ICs with Tower Semiconductor, and its 1.6T optical DSP platform is already at a \$1bn annualised run rate before the industry transition from 800G has properly begun.

Management guides the interconnect business to grow over 70% year-over-year in FY2027, with the DCI coherent ZR line growing over 100%. Channel work suggests 800G and 1.6T unit volumes could rise fivefold in 2027 against 2025. The structural driver is that east-west traffic inside AI clusters scales faster than the compute itself: every incremental accelerator deployed multiplies the optical interconnect required to keep it fed, which is why optical content per rack rises even when accelerator ASPs do not.

Marvell is also defending the position on process technology rather than price. The company is demonstrating industry-first 2nm optical technology at ECOC 2026 across 400G/lane PAM4, 800G ZR/ZR+ with MACsec and 1.6T coherent-lite — at least one process generation ahead of the optical competition. **Broadcom's entry into 800G and 1.6T DSPs is the live threat here, and we assume share erosion: our forecasts do not require Marvell to hold 60–70% share indefinitely.**

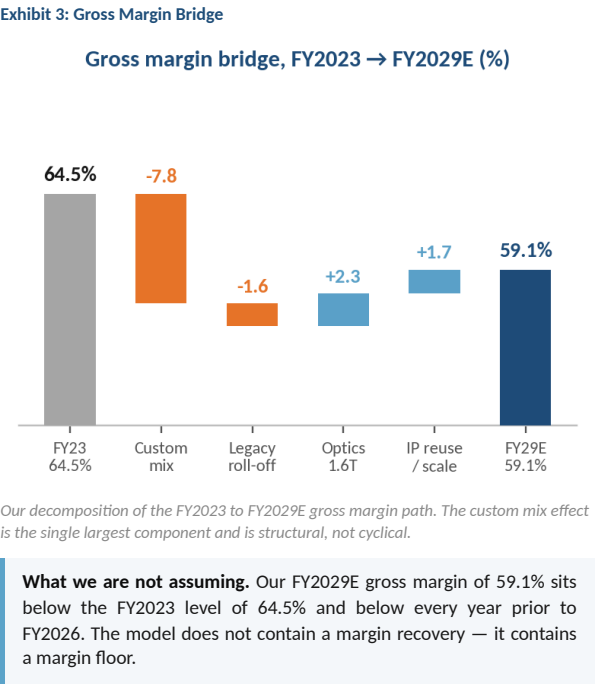
4. Margins — The Bear Argument Is Real and It Is Already In Our Numbers

Gross margin has fallen every year since FY2023: 64.5%, 61.2%, 61.0%, 59.5%, and guidance for Q3 FY2027 is 57.5–58.5%. That is roughly 700bps of compression in four years, and it is not a cyclical artefact — it is the arithmetic consequence of custom ASICs, which carry structurally lower gross margins than merchant silicon, becoming the largest part of the mix.

We do not argue against this. We model gross margin at 58.4% in FY2027E and 58.1% in FY2028E, in line with management's own guidance, recovering only modestly to 59.1% by FY2029E as IP reuse across programmes and the higher-margin optics ramp partially offset the custom mix. Anyone underwriting Marvell on gross margin expansion is underwriting the wrong line.

The margin case rests on operating leverage instead, and there the evidence is unambiguous. Operating expenses fall from 32.2% of revenue in FY2025 to 24.2% in FY2026, 21.2% in FY2027E and 15.6% by FY2029E. Management has committed to opex growing at roughly half the rate of revenue in FY2028. The result is that EBITDA margin expands from 39.5% to 45.7% between FY2026 and FY2029E despite gross margin falling over the same window — a 620bps expansion delivered entirely below the gross profit line.

This is the mechanical reason EPS compounds at 53.6% against revenue at 47.6%. It also explains why the margin debate, which dominates sell-side commentary on Marvell, is less decision-relevant than it appears: a 200bps miss on FY2029E gross margin reduces EBITDA by approximately \$530mn, the comparables-derived value by roughly \$17 per share, and — after blending and probability-weighting — our target by approximately \$9.50, or 3%. A six-month delay to the custom silicon ramp costs several times that.



5. Neutrality — Why the Nvidia Relationship Is the Most Important Thing That Happened This Year

In March 2026 Nvidia invested \$2bn in Marvell and opened its NVLink Fusion platform to Marvell's custom chips and networking equipment. The strategic logic is unusual enough to be worth stating plainly: Nvidia is simultaneously Marvell's most credible competitor in data centre networking — Spectrum-X Ethernet and Quantum-X InfiniBand, with Google Cloud and Meta added as switch customers, plus silicon photonics switches with co-packaged optics — and now a shareholder and platform partner.

What this converts is the single largest structural risk to Marvell's networking franchise. Before NVLink Fusion, an AI cluster built entirely on Nvidia architecture was a cluster Marvell could be designed out of. After it, Marvell's custom silicon and interconnect products can operate inside Nvidia's AI factory ecosystem, which means Marvell's content is attached to AI infrastructure spending irrespective of which compute architecture wins the socket. **Marvell is the closest thing in AI infrastructure to a neutral supplier: it sells into GPU clusters and into ASIC clusters, and it does not need to pick the winner.**

The counter-argument deserves a hearing. Nvidia's networking revenue more than doubled in Q3 2026, and its co-packaged optics switches enter Marvell's territory directly. A partnership does not eliminate that. Our position is narrower: the partnership removes the scenario in which Marvell is structurally excluded, and leaves a contest over share in a market growing fast enough to support both. That is a materially better risk profile than the one the market was pricing twelve months ago.

6. The Valuation Question Is About Horizon, Not Multiple

At \$254.16 the shares trade at 58.6x FY2027E adjusted earnings. On its own that number invites the conclusion that the stock is expensive, and on a one-year view it is. The same shares trade at 24.3x FY2029E earnings and 18.5x FY2029E EV/EBITDA, against a sector median of 27.1x EV/EBITDA and 34.5x forward earnings.

Both statements are true, and the gap between them is the investment question. What an investor is being asked to pay for is not a multiple — it is three years of delivery across three hyperscaler programmes. Our target of \$317.29 implies 30.3x FY2029E earnings and 23.1x FY2029E EV/EBITDA: **still a discount to where the sector median trades today**, on a company we expect to grow revenue at 47.6% and EPS at 53.6% over that window.

We are explicit about the corollary. This target does not rest on multiple expansion, and it does not rest on our discounted cash flow, which is the most conservative component of our framework and is discussed candidly on page 10. It rests on the FY2028–FY2029E estimates being approximately right.

What the Current Price Implies			
At CMP \$254.16	FY27E	FY28E	FY29E
P/E (x)	58.6	36.4	24.3
EV/EBITDA (x)	45.8	28.6	18.5
EV/Sales (x)	18.5	12.3	8.5
At target price \$317.29			
P/E (x)	73.2	45.4	30.3
EV/EBITDA (x)	57.1	35.7	23.1
EV/Sales (x)	23.1	15.3	10.6

Sector median: 27.1x EV/EBITDA, 34.5x forward P/E. Our target implies a discount to the sector median on FY2029E EV/EBITDA.

7. Why We Think the Opportunity Exists

A thesis needs an explanation for the mispricing. Ours rests on three observations about how this stock has traded and how it is covered.

First, the shares have already risen 240.3% in twelve months, and that creates its own resistance. After a move of that size the instinctive position is that the story is in the price. But management raised both FY2027 and FY2028 guidance at the August print — the trajectory has been outrunning the share price, not following it. The stock also fell roughly 44% from its June peak of \$329.88 to approximately \$185 in early August before recovering, which says the market's conviction here is thinner than the headline return suggests.

Second, the reported earnings base is misleading. Marvell posted GAAP net losses in FY2023–25, driven by amortisation of Inphi and Cavium intangibles, and the trailing GAAP P/E of approximately 85x reflects this. The adjusted figures we use are the correct basis for forward analysis, but the divergence means quantitative screens systematically misread this company.

Third, the debate has become binary when the business is not. Coverage has reduced Marvell to a single question — does custom silicon hit \$11bn — and priced it accordingly. That ignores that optics is the larger business today, growing 70%+ on 60–70% share. Where custom silicon lands at \$8bn rather than \$11bn, our bear case, the shares are still worth \$275. That asymmetry is what makes the position.

Marvell Technology is a fabless designer of data infrastructure semiconductors, headquartered in Wilmington, Delaware with principal operations in Santa Clara. It designs complex system-on-chip architectures integrating analog, mixed-signal and digital signal processing, and outsources all manufacturing — primarily to TSMC. Revenue is generated entirely through product sales; there is no services or licensing line of consequence.

The economic engine is a design-win model with unusually long lifecycles. A custom ASIC programme for a hyperscaler is a two-to-four year co-engineering exercise involving the customer's own software and hardware teams. Once a part is in production the switching cost is prohibitive: displacing Marvell requires the customer to restart a multi-year design cycle with a new vendor, re-qualify the silicon and re-tune the software stack. That is why the revenue is durable once won — and why losing a socket creates a revenue gap recoverable only at the next platform generation.

Two Reporting Segments

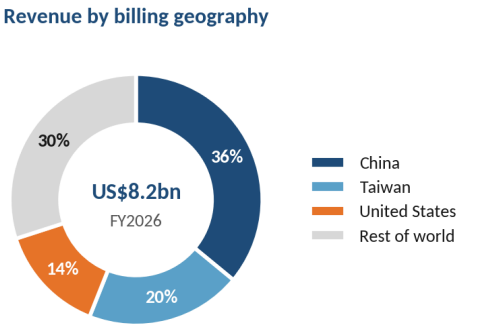
Segment	Description	Key products	FY26 rev.	% of total
Data Center	Silicon for AI training and inference infrastructure: compute, interconnect, switching and storage. The growth engine and the basis on which the equity should be valued.	Custom AI ASICs (XPUs), PAM4 and coherent DSPs, silicon photonics, DCI, Ethernet switching, storage controllers, SmartNICs	\$6,100mn	74.4%
Communications & Other	The consolidated legacy portfolio, restructured into a single reported line from FY2025. Guided to approximately +10% in FY2027 after a deep cyclical trough.	Enterprise networking, carrier/5G infrastructure, consumer broadband, remaining industrial	\$2,094mn	25.6%
Total			\$8,195mn	100%

Segment reporting was restructured in FY2025; Carrier Infrastructure, Enterprise Networking, Consumer and Automotive/Industrial were consolidated into "Communications & Other". Prior-year sub-segment detail is shown on page 7.

How the Company Earns Money — Four Mechanisms

- **Design-win lock-in on multi-year platforms.** Custom silicon programmes run two-to-four years from engagement to production and then generate revenue across the platform's life. Marvell holds simultaneous programmes at AWS, Microsoft, Google and Meta.
- **Content expansion per unit, not unit growth.** The relevant variable is dollar content per rack and per accelerator, which rises with each architectural generation. XPU-attach alone carries \$5,000–\$7,000 of Marvell content per XPU at Meta.
- **Three go-to-market modes.** Merchant silicon (standard parts sold to many customers), semi-custom (standard platforms with customer-specific modification) and full-custom ASICs built entirely to a hyperscaler's specification. The mix is shifting decisively toward the third, which is the margin story on page 3.
- **Asset-light reinvestment.** Capex runs at 4.3% of revenue in FY2026 against R&D at roughly 25.8%. The fabless model converts what would be fab capital into engineering headcount, which is where Marvell's differentiation actually sits.

Exhibit 4: Revenue by Billing Geography



Revenue is reported by billing location, not end-customer location. The 36% China figure is largely a manufacturing artefact: most shipments to China are for non-Chinese end customers with assembly operations there. True China end-market exposure is materially lower, though the tariff and export-control exposure is real regardless of where demand originates.

Customer concentration is the structural exposure. A small number of hyperscalers drive the substantial majority of data centre revenue. We treat this as a standing risk rather than a thesis-breaker — the same concentration that creates the exposure is what produces the multi-year visibility — but it is the reason our bear case carries a 10% weight rather than zero.

Portfolio Actions Since 2025 — The Transformation in Transactions

Date	Action	Strategic rationale and our read
Aug 2025	Sale of Automotive Ethernet to Infineon — \$2.5bn cash	Exited a lower-growth, capital-consuming segment at a point when automotive semiconductor multiples were elevated, freeing capital and management bandwidth precisely as AI demand accelerated. In our view the best-timed decision of Murphy's tenure.
Feb 2026	Acquisition of XConn Technologies — PCIe/CXL switching	Buys the electrical switching layer of scale-up AI clusters, where CXL is emerging as the standard for memory pooling. Small, early, and strategically coherent.
Mar 2026	Nvidia \$2bn investment and NVLink Fusion access	Converts the largest structural competitive threat into a distribution channel. The most consequential single event of the past twelve months, discussed on page 3.
2026	Acquisition of Celestial AI — co-packaged optics	16T bandwidth between accelerators, with AWS as flagship customer. Revenue projected at approximately \$150mn in CY2027 ramping to roughly \$850mn in CY2028. We carry this conservatively; integration risk is real.
17 Sep 2026	GlobalFoundries SiGe agreement — Burlington, Vermont	Multi-year binding agreement securing silicon germanium capacity, the specialised process underpinning optical connectivity products.
22 Sep 2026	AT&S IC substrate agreement — Kulim, Malaysia	Expands advanced substrate capacity for next-generation AI packaging. Together with the GF agreement and ~\$1bn of prepayments, this is the supply-side evidence behind the FY2028 ramp.

The pattern is coherent and well-sequenced: prune the low-growth portfolio at an attractive valuation, redeploy into the architectural bottlenecks of AI infrastructure, then contract the supply chain ahead of the ramp.

Marvell competes in three markets with different structures and different economics: custom AI silicon, electro-optics and data centre networking. Each is driven by a specific architectural transition rather than by unit growth in the underlying end product, which is what makes content-per-rack the correct analytical frame in all three.

Structural Growth Drivers

Driver	Mechanism and relevance to Marvell
Custom silicon displacing merchant GPUs	Hyperscalers are building workload-specific accelerators to reduce cost per token and escape single-vendor pricing. The custom AI silicon market is projected at approximately \$40bn by CY2028. Marvell targets roughly 20% share against 8–10% today. This is a share-gain story in a market that is itself compounding.
800G to 1.6T optical transition	East-west traffic inside AI clusters scales faster than the compute. Every accelerator added multiplies the interconnect needed to keep it fed, so optical content per rack rises independently of accelerator ASPs. Marvell's 1.6T DSP platform is already at a \$1bn annualised run rate.
Scale-up interconnect becoming a distinct layer	As clusters exceed the limits of electrical interconnect, co-packaged optics and CXL/PCIe switching emerge as an architectural necessity rather than an optimisation. Celestial AI enables 16T between accelerators; XConn supplies the electrical switching layer.
XPU-attach content	Every custom accelerator deployed creates attach demand for SmartNICs, CXL controllers and memory interface silicon. TAM of approximately \$14.6bn by CY2028, with \$5,000–\$7,000 of content per XPU at Meta. Attach revenue scales with deployment volume at very low incremental design cost.
Rising design cost as a barrier	Leading-edge chip design now exceeds \$500mn per part. This naturally winnows the supplier base and drives returns to scale — a structural benefit to the three or four firms that can still fund it, and a durable barrier to new entrants.

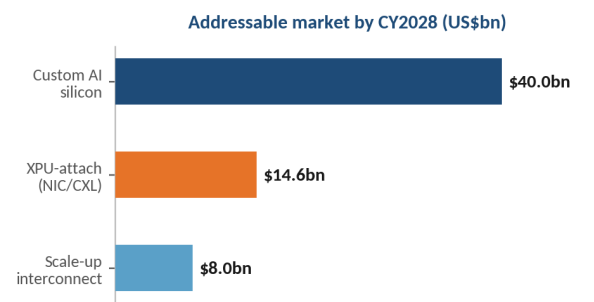
Market Structure — A Duopoly in Custom Silicon, a Monopoly in Optics

The competitive structure differs sharply by segment, and conflating them produces bad conclusions. In custom AI ASICs Broadcom is the clear leader at an estimated 75–80% share against Marvell's 8–10%, built on a decade-long relationship with Google and unmatched production experience in large reticle-sized parts. JPMorgan estimates Broadcom holds an 18-month lead.

In optical DSPs the position inverts. Marvell holds an estimated 60–70% of the 800G PAM4 DSP market and leads in coherent DSPs on the strength of the Inphi acquisition. In Ethernet switching the two companies have historically held a near-duopoly in commercial switch silicon.

The important structural point is that hyperscaler multisourcing is deliberate and persistent. No cloud provider wants a single supplier for silicon this strategic. That is what makes Marvell's number-two position in custom silicon durable rather than transitional: the \$40bn CY2028 market does not require displacing Broadcom for Marvell to reach \$11bn.

Exhibit 5: Addressable Market by CY2028



Company-disclosed and third-party TAM frameworks. Our forecasts are built bottom-up from programme revenue and content-per-unit assumptions, not from TAM penetration.

A note on TAM sizing. Published AI semiconductor TAMs vary by an order of magnitude because they count different pools — device value, system value, or only the outsourced portion. We use these figures as directional context only.

The China Question, Framed Properly

China accounts for 36% of net revenue by billing location, and this is the most frequently cited bear point on Marvell. It requires precision. The substantial majority of those shipments are contract-manufacturing flows destined for non-Chinese end customers with assembly operations in China. True Chinese end-market demand exposure is materially lower than 36%.

That said, the risk does not disappear under reclassification. Export controls and tariffs apply at the point of shipment, not the point of demand. A restriction on advanced semiconductor shipments to China-based destinations would disrupt Marvell's logistics and revenue recognition regardless of who the end customer is. We treat this as a real but manageable exposure — one that argues for a lower multiple than a purely domestic supplier would carry, not for a different thesis.

Demand Outlook by Business Line

Business line	Outlook	Assessment and FY2027 guidance
Custom silicon (XPU) ~26% of DC revenue	Very positive	Growing over 20% YoY in FY2027 with significant H2 acceleration, then more than doubling in FY2028. AWS Trainium is over two-thirds of the mix in FY2027, falling to ~50% in FY2028 as Maia and attach scale. The largest driver and the largest execution risk.
Optical interconnect ~49% of DC revenue	Very positive	Guided to grow over 70% YoY in FY2027, with DCI coherent ZR growing over 100%. The 1.6T platform is at a \$1bn annualised run rate. Scale-up optics guided materially above the prior \$300mn FY2028 expectation.
Switching	Positive	Scale-out switch revenue projected above \$600mn in FY2027 and above \$1bn annualised in FY2028; 51.2T switch revenue expected to double this year. Competitive pressure from Nvidia Spectrum-X is the offsetting factor.
XPU-attach (NIC/CXL)	Positive	Expected to more than double to over \$1bn in FY2028. Scales proportionally with hyperscaler XPU deployment at low incremental design cost — the most capital-efficient growth mechanism in the portfolio.
Communications & Other	Stabilising	Guided to approximately +10% YoY in FY2027 after a low-to-mid single digit sequential decline in Q3 and a solid Q4 recovery. Provides a roughly \$2.1bn base but is no longer material to the growth algorithm.

Porter's Five Forces

Force	Intensity	Moat impact	Key evidence
Threat of new entrants	Low	Positive	Leading-edge design cost exceeds \$500mn per part; Marvell holds 10,000+ patents and proprietary high-speed SerDes IP accumulated across Cavium, Inphi and Innovium. A new entrant would need roughly a decade to replicate the IP breadth. <i>Structural — these are real barriers.</i>
Supplier power	High	Negative	TSMC manufactures the substantial majority of Marvell's silicon at leading-edge nodes with no viable second source. Marvell has paid approximately \$1bn in prepayments to secure capacity — an explicit measure of who holds the pricing power. <i>Structural and unmitigated.</i>
Buyer power	High	Neutral	Four hyperscalers drive the majority of data centre revenue, all with internal design teams and explicit multisourcing strategies. Partially offset by two-to-four year design cycles and prohibitive switching costs once in production. <i>Structural; the switching cost is the only counterweight.</i>
Threat of substitutes	Moderate	Neutral	Linear pluggable optics could reduce DSP content per module; hyperscaler in-sourcing could displace custom silicon over a 5–7 year horizon. Both are architectural rather than pricing threats. <i>Genuine but slow-moving.</i>
Competitive rivalry	High	Negative	Broadcom leads custom silicon at 75–80% share and is entering 800G/1.6T DSPs; Nvidia is expanding aggressively in networking; Alchip has taken the majority of Trainium 3. <i>Intensifying, and the single most important thing to monitor.</i>

Where the Moat Is Genuinely Durable — and Where It Is Not

1. Optical DSP technology leadership

This is the strongest position. Years of accumulated analog and mixed-signal IP from the Inphi acquisition, over five million coherent photonic ICs shipped with Tower Semiconductor, and industry-first 2nm optical demonstrations at ECOC 2026 put Marvell at least one process generation ahead. Replicating this requires talent that is not available to hire at scale.

2. Switching costs in custom silicon

Once a custom ASIC is in production, displacement requires restarting a two-to-four year design cycle, re-qualifying silicon and re-tuning the customer's software stack. Marvell holds four such relationships simultaneously. This is a real moat — but it protects installed programmes, not the next award.

3. IP breadth and process node access

Decades of analog, mixed-signal and DSP IP combined with preferential access to TSMC's leading-edge nodes. The proprietary SerDes portfolio is the specific asset that design-services competitors such as Alchip cannot match, and it is why Marvell wins the most complex programmes even where it loses on price.

4. Ecosystem position

NVLink Fusion embeds Marvell inside Nvidia's AI factory architecture; Celestial AI's co-packaged optics creates a second integration layer. These are the newest and least proven sources of advantage, and we weight them lightly.

Where the moat is weakest, stated plainly. Marvell's position at the lower-complexity end of custom silicon is not defended. Alchip took the majority of Trainium 3 at Marvell's own anchor customer — the clearest available evidence that cost-competitive design-services firms can win at the margin. Our view is that Marvell's IP depth protects the most complex, highest-value programmes and does not protect the rest. That is a narrower moat than the bull case usually asserts, and it is priced into our bear scenario.

Competitive Positioning Against the Peer Set

Segment	MRVL position	Primary threat	Marvell's advantage and the honest counterpoint
Custom AI silicon	#2 (~8–10% share)	Broadcom (~75–80%); Alchip at the low end	Four simultaneous hyperscaler programmes and full-service IP. But Broadcom holds an estimated 18-month lead and Alchip has already won at AWS.
PAM4 optical DSPs	#1 (60–70% share)	Broadcom entering 800G/1.6T	2nm leadership and the 1.6T ramp. This is the most defensible position Marvell holds; we still model share erosion.
Coherent DSPs (DCI)	#1	Ciena (systems), Broadcom	Inphi heritage; ZR/ZR+ growing over 100%. Ciena is as much customer as competitor.
Ethernet switching	#2 (duopoly)	Broadcom Tomahawk; Nvidia Spectrum-X	Teralynx plus neutral-supplier positioning. Nvidia added Google Cloud and Meta as switch customers — this is the fastest-deteriorating position.
Scale-up interconnect	Emerging	Nvidia NVLink, Broadcom	XConn plus Celestial AI plus NVLink Fusion partner status. Real optionality, but unproven revenue.

AMD and Qualcomm appear in our valuation peer set for multiple comparability but are not meaningful competitors in Marvell's core markets: AMD sells merchant GPUs rather than custom ASICs, and Qualcomm's exposure is mobile and edge. Intel is structurally disadvantaged in both custom silicon and networking.

Technology Roadmap — What Converts the Moat Into Revenue

Technology	Status	Revenue timing	Commercial significance
1.6T optical DSP	In production	Now	Already at a \$1bn annualised run rate before the 800G-to-1.6T transition has properly begun. The nearest-term upside driver in the model.
2nm optical platform	Demonstrating	FY2028 →	Industry-first demonstrations at ECOC 2026 across 400G/lane PAM4, 800G ZR/ZR+ with MACsec and 1.6T coherent-lite. At least one process generation ahead of optical competitors.
Custom XPU (Trainium, Maia)	In production	Now	Over two-thirds of custom revenue is AWS in FY2027. Volume production confirmed; the question is share retention at subsequent generations, not capability.
Co-packaged optics (Celestial AI)	Ramping	CY2027–28	16T between accelerators, AWS anchor customer, approximately \$150mn CY2027 ramping to ~\$850mn CY2028. The single largest source of upside optionality not in our base case at full value.
PCIe/CXL switching (XConn)	Early	FY2028 →	Combined with Celestial AI, positions Marvell across the full scale-up interconnect stack from electrical switching to optical transport.
Google inference accelerators	In design	FY2029 →	Spans inference accelerators, storage controllers, NICs, memory interface controllers and near-memory compute, with a revenue-linked warrant over up to 58.9mn shares. The FY2029 swing factor.

Exhibit 6: Revenue Mix by Segment (%)

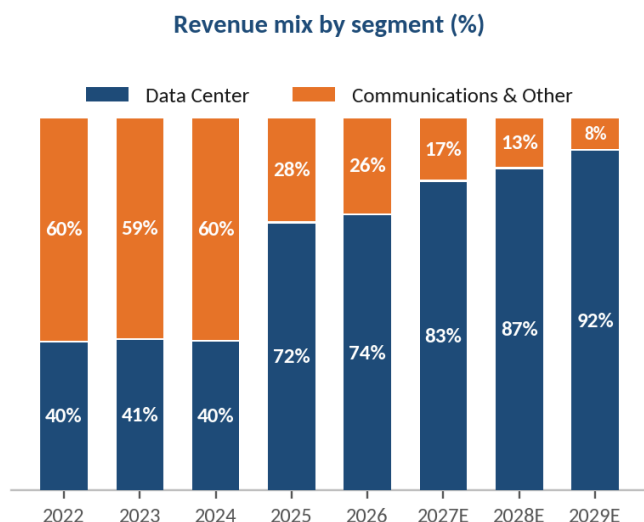
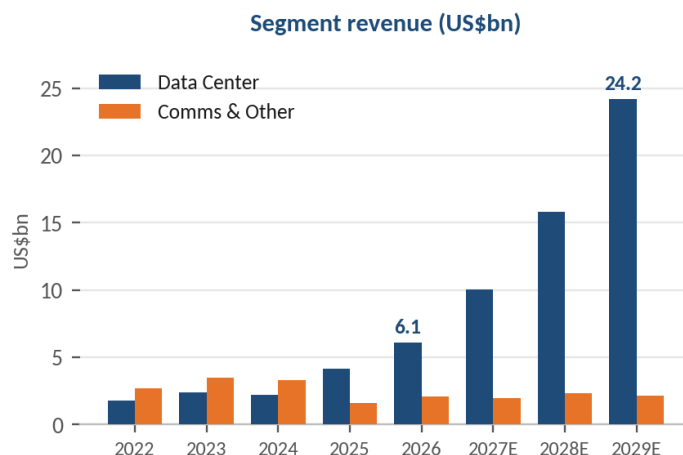


Exhibit 7: Segment Revenue (US\$bn)



Segment Revenue and Growth

Segment (US\$mn)	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E
Data Center	1,785	2,409	2,217	4,164	6,100	10,046	15,820	24,200
YoY growth (%)	—	35.0	(8.0)	87.8	46.5	64.7	57.5	53.0
Communications & Other	2,678	3,511	3,291	1,603	2,094	1,992	2,360	2,136
YoY growth (%)	—	31.1	(6.3)	(51.3)	30.6	(4.9)	18.5	(9.5)
Total revenue	4,462	5,920	5,508	5,767	8,195	12,037	18,180	26,336
Data Center % of revenue	40.0	40.7	40.2	72.2	74.4	83.5	87.0	91.9
Comms & Other % of revenue	60.0	59.3	59.8	27.8	25.6	16.5	13.0	8.1

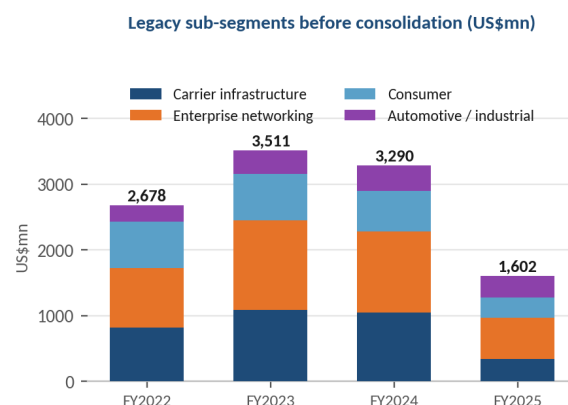
What the Data Centre Segment Is Actually Made Of

Treating data centre revenue as a single line obscures the most important fact about it: the three sub-businesses inside it have very different growth rates, margins and competitive positions, and the mix between them is what drives the consolidated gross margin path on page 3.

Electro-optics is roughly \$3bn, or about 49% of the segment — the largest piece today. It carries the highest margins of the three, holds 60–70% share in 800G PAM4 DSPs, and is guided to grow over 70% in FY2027. **Custom silicon is roughly \$1.6bn, or about 26%**, growing fastest and carrying the lowest gross margin. **Switching, storage and attach make up the remaining quarter.**

By FY2029E the ordering inverts: custom silicon becomes the largest sub-segment at roughly 46% of data centre revenue, displacing interconnect at approximately 41%. That single mix shift — a lower-margin business becoming the largest one — is the entire explanation for why we model gross margin falling while EBITDA margin rises.

Exhibit 8: Legacy Sub-Segments Before Consolidation



Sub-segment disclosure ceased with the FY2025 reporting change. The composite fell 51% in FY2025 alone.

The Legacy Collapse, and Why It No Longer Matters

Between FY2023 and FY2025 carrier infrastructure fell 69%, enterprise networking 54% and consumer 55%. The composite went from \$3,511mn to \$1,602mn — a \$1.9bn decline concentrated in two years, which is why reported revenue fell 7.0% in FY2024 and grew only 4.7% in FY2025 despite data centre revenue nearly doubling across the same window.

This is now a \$2.1bn base against a company we model at \$26.3bn by FY2029E. Even a renewed 20% decline in the legacy segment would cost roughly 1.6% of FY2029E revenue. **The segment has shrunk past the point of mattering to the equity story in either direction** — which is precisely what makes FY2026 the first clean read on the underlying business.

Forecast Assumptions

Revenue. We model FY2027E revenue of \$12,037mn, up 46.9%, within 0.3% of management's raised guidance of approximately \$12.0bn. FY2028E of \$18,180mn, up 51.0%, sits 1.0% above the guided \$18.0bn. FY2029E of \$26,336mn, up 44.9%, extends beyond the guided horizon and is built bottom-up from the custom silicon ramp to above \$11bn, interconnect compounding at roughly 45%, and switching passing \$1bn annualised. Data centre revenue reaches 91.9% of the total.

Margins. Gross margin falls from 59.5% in FY2026 to 58.4% in FY2027E and 58.1% in FY2028E, in line with guidance of 57.5–58.5%, recovering to 59.1% by FY2029E on IP reuse and optics mix. Operating expenses fall from 24.2% of revenue to 15.6% over the same window, with management committed to opex growing at roughly half the rate of revenue in FY2028. EBITDA margin expands 620bps to 45.7% entirely through operating leverage.

Earnings basis. All figures below are presented on an adjusted (non-GAAP) basis, excluding amortisation of acquired intangibles and share-based compensation. This matters more for Marvell than for most peers: the company reported GAAP net losses in FY2023, FY2024 and FY2025 driven by amortisation of Inphi and Cavium intangibles, even as adjusted net income ranged between \$1.3bn and \$1.8bn. We regard the adjusted basis as the correct one for forward analysis, but readers should be aware that the two bases diverge by well over \$1bn a year in this period.

Income Statement								(US\$m)
Particulars	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E
Revenue	4,462	5,920	5,508	5,767	8,195	12,037	18,180	26,336
Cost of revenue	1,564	2,102	2,137	2,247	3,323	5,005	7,617	10,772
Gross profit	2,898	3,817	3,371	3,521	4,872	7,032	10,563	15,563
Gross margin (%)	64.9	64.5	61.2	61.0	59.5	58.4	58.1	59.1
Total operating expenses	1,433	1,718	1,772	1,856	1,981	2,557	3,244	4,110
Opex (% of revenue)	32.1	29.0	32.2	32.2	24.2	21.2	17.8	15.6
EBIT	1,465	2,099	1,599	1,665	2,891	4,475	7,319	11,453
D&A	266	305	300	304	349	398	477	594
EBITDA	1,731	2,404	1,899	1,969	3,240	4,873	7,796	12,048
EBITDA margin (%)	38.8	40.6	34.5	34.1	39.5	40.5	42.9	45.7
Net interest expense	139	171	212	189	203	226	228	212
Other non-operating income / (expense)	20	10	7	6	110	83	(252)	(258)
Pre-tax income	1,346	1,939	1,394	1,481	2,798	4,332	6,839	10,984
Tax	67	116	84	104	280	490	609	1,417
Effective tax rate (%)	5.0	6.0	6.0	7.0	10.0	11.3	8.9	12.9
Net income (adjusted)	1,279	1,822	1,310	1,377	2,518	3,842	6,230	9,567
Diluted shares (mn)	813	859	869	877	870	886	892	914
EPS — diluted (\$)	1.57	2.12	1.51	1.57	2.89	4.34	6.98	10.47

Exhibit 9: Revenue & YoY Growth

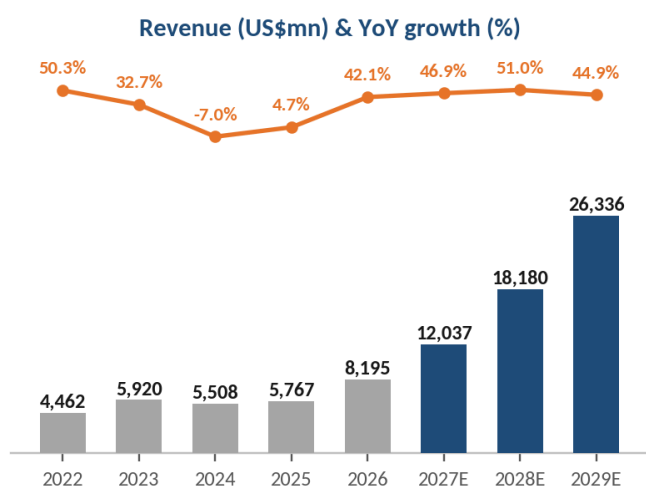
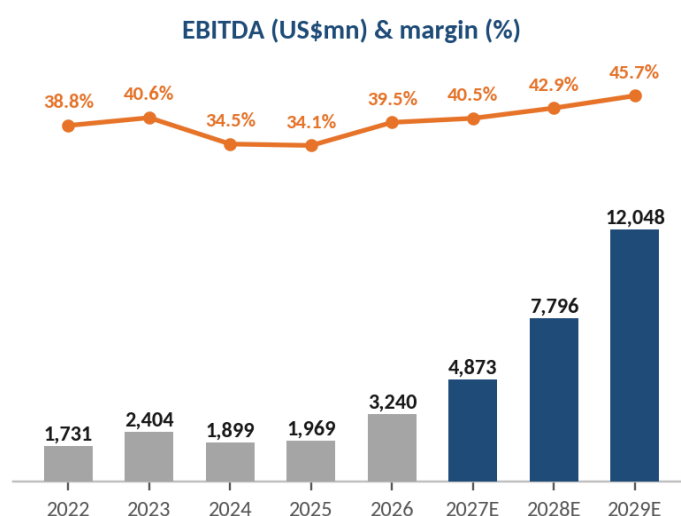


Exhibit 10: EBITDA & Margin



Grey bars denote reported periods; navy bars denote our estimates. The effective tax rate rises from 5.0% in FY2022 to 12.9% by FY2029E as the geographic mix of profit shifts and prior-period benefits unwind; we treat the FY2028E dip to 8.9% as timing rather than a structural rate change.

Balance Sheet						(US\$mn)
Particulars	FY24	FY25	FY26	FY27E	FY28E	FY29E
Cash & cash equivalents	951	948	2,639	5,110	8,584	15,264
Accounts receivable	1,122	1,028	2,187	2,509	3,671	4,872
Inventories	864	1,030	1,388	1,859	2,609	3,757
Other current assets	126	114	247	250	270	290
Total current assets	3,063	3,120	6,461	9,728	15,134	24,183
Property, plant & equipment	756	791	935	1,153	1,430	1,765
Goodwill	11,587	11,587	11,062	12,892	12,673	11,685
Other intangible assets	4,004	2,711	1,755	2,000	1,343	1,220
Other non-current assets	1,819	1,996	2,073	1,353	1,940	2,413
Total non-current assets	18,166	17,084	15,825	17,398	17,387	17,083
Total assets	21,229	20,205	22,285	27,126	32,521	41,267
Accounts payable	411	622	1,074	1,200	1,692	2,526
Short-term debt	107	130	500	523	456	521
Other current liabilities	1,296	1,275	1,647	1,324	1,636	1,785
Total current liabilities	1,814	2,027	3,221	3,046	3,784	4,832
Long-term debt	4,059	3,934	3,971	4,772	4,831	5,030
Other non-current liabilities	524	816	786	1,345	1,394	1,461
Total non-current liabilities	4,583	4,751	4,756	6,117	6,225	6,490
Shareholders' equity	14,832	13,427	14,308	17,963	22,512	29,945
Total liabilities & equity	21,229	20,205	22,285	27,126	32,521	41,267

Exhibit 11: Unlevered FCF & Margin

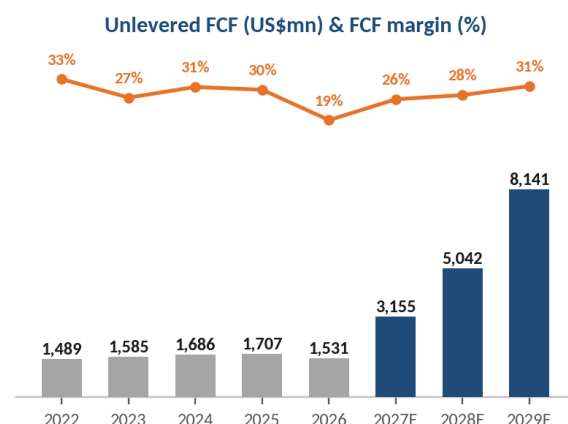
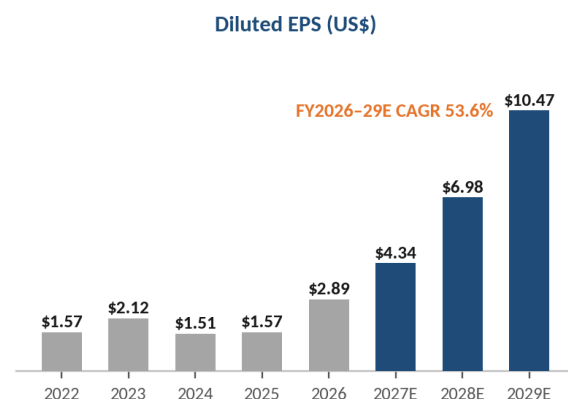


Exhibit 12: Diluted EPS



The balance sheet is not a constraint. Net debt of \$2,151mn against FY2026 EBITDA of \$3,240mn is 0.66x. On our forecasts the company turns net cash during FY2028E and holds approximately \$9.7bn of net cash by FY2029E. Goodwill of \$11.1bn from the Inphi and Cavium era dominates the asset side and is the source of the GAAP earnings drag discussed on page 8.

Cash Flow Statement						(US\$mn)
Particulars	FY25	FY26	FY27E	FY28E	FY29E	
Cash flow from operations	1,681	1,751	3,154	5,831	8,747	
Capital expenditure	(285)	(354)	(544)	(683)	(914)	
Cash flow from investing	(301)	2,098	(1,663)	(775)	(998)	
Cash flow from financing	(1,383)	(2,158)	719	(1,338)	(1,445)	
Net change in cash	(3)	1,691	2,209	3,718	6,305	
FCF (CFO less capex)	1,396	1,397	2,610	5,148	7,833	
Unlevered FCF (DCF basis)	1,707	1,531	3,155	5,042	8,141	

Unlevered FCF is computed from EBIT after cash taxes, adding back D&A and deducting capex and the increase in working capital, as used in the DCF on page 10. It differs from CFO less capex principally by the treatment of interest and working-capital timing.

Key Financial Ratios					
Ratio	FY25	FY26	FY27E	FY28E	FY29E
Gross margin (%)	61.0	59.5	58.4	58.1	59.1
EBITDA margin (%)	34.1	39.5	40.5	42.9	45.7
EBIT margin (%)	28.9	35.3	37.2	40.3	43.5
PAT margin (%)	23.9	30.7	31.9	34.3	36.3
Return on equity (%)	9.7	18.2	23.8	30.8	36.5
Return on assets (%)	6.6	11.9	15.6	20.9	25.9
Capex (% of sales)	4.9	4.3	4.5	3.8	3.5
FCF margin (%)	29.6	18.7	26.2	27.7	30.9
Net debt / EBITDA (x)	1.72	0.66	0.04	Net cash	Net cash
Inventory days (DIO)	154	133	118	107	108
Receivable days (DSO)	65	97	76	74	68
Payable days (DPO)	101	118	87	81	86
Cash conversion cycle (days)	118	112	107	100	90

Working-capital ratios are computed on average balances. ROE and ROA likewise use average equity and average assets.

Reading the cash flow statement. First, FY2026 operating cash flow of \$1,751mn converted only 69.5% of adjusted net income — the weakest conversion in the five-year record — because receivables rose from \$1,028mn to \$2,187mn as revenue accelerated 42%. That is growth-driven working capital absorption rather than a quality-of-earnings problem, and DSO normalises to 76 days by FY2027E. **Second, the FY2026 investing inflow of \$2,098mn is the Infineon proceeds**, and the financing outflow of \$2,158mn is where that cash went. **Third, capex runs at 3.5-4.5% of sales throughout:** FY2029E capital intensity is lower than FY2025's despite revenue being 4.6x larger.

We value Marvell using a blended framework that weights a comparable-company analysis at 80% and a discounted cash flow at 20%, and then probability-weights three scenarios. The weighting is deliberate and is explained on this page: the DCF is structurally ill-suited to a business at this stage of a ramp, and we would rather say so and weight it lightly than bury the problem inside the assumptions.

Discounted Cash Flow — Base Case			(US\$mn)
Particulars	FY2027E	FY2028E	FY2029E
EBIT	4,475	7,319	11,453
Effective tax rate (%)	11.3	8.9	12.9
Less: cash taxes	(506)	(651)	(1,477)
Add: D&A	398	477	594
Less: capital expenditure	(544)	(683)	(914)
Less: increase in working capital	(668)	(1,419)	(1,514)
Unlevered free cash flow	3,155	5,042	8,141
Discount factor @ 11.0%	0.901	0.812	0.731
Present value of FCF	2,843	4,092	5,953
WACC	11.0%	Terminal growth rate	3.0%
Sum of PV of explicit FCF	12,888	Normalised terminal FCF	8,560
PV of terminal value	80,582	Terminal value	110,206
Enterprise value	93,469	TV as % of EV	86.2%
Less: net debt	(2,151)	Diluted shares (mn)	870
Equity value	91,318	Implied share price	\$104.96

Terminal value is computed on a perpetuity-growth basis from a normalised terminal free cash flow of \$8,560mn — 5.1% above the FY2029E figure of \$8,141mn, reflecting a working-capital build that steps down toward a steady-state proportion of revenue growth once the ramp matures. Using the unadjusted FY2029E figure would reduce the implied price to approximately \$99.6.

DCF Sensitivity — Implied Share Price (\$)

The table holds our explicit FY2027E–FY2029E forecasts and the normalised terminal cash flow constant, and flexes only the discount rate and the terminal growth assumption. The shaded cell is our base case.

WACC \ Terminal growth	2.0%	2.5%	3.0%	3.5%	4.0%
9.0%	123.7	132.8	143.4	155.9	171.0
10.0%	106.9	113.7	121.4	130.3	140.8
11.0%	93.9	99.1	105.0	111.6	119.2
12.0%	83.5	87.6	92.2	97.3	103.1
13.0%	75.0	78.3	82.0	86.0	90.6

No combination of plausible inputs within this grid produces a value approaching the current share price of \$254.16. That is the central fact about the DCF and we address it directly below rather than tuning the inputs until it disappears.

Limitations We Would Flag

1. The explicit forecast window is three years, and terminal value is 86% of enterprise value. We are striking a perpetuity at FY2029 — the precise moment the custom silicon ramp reaches scale and before any of it has been shown to be durable. A DCF applied to a business compounding EBITDA at 55% over the explicit period will always be dominated by its terminal assumption, and the resulting figure says more about the terminal multiple than about the cash flows. This is the single largest reason we weight the DCF at only 20%.

2. The capital weights are book, not market. Our WACC of 11.0% uses book equity of \$14,308mn, giving debt a 25.1% weight. On market values, equity of roughly \$221bn against \$4.8bn of debt puts the debt weight at 2.1% and lifts WACC to approximately 12.8% — which, at 3% terminal growth, reduces the DCF-implied price to roughly \$84 rather than \$105. We disclose this because it is the more theoretically correct calculation and it moves the answer materially. It does not change our target, because the DCF carries a 20% weight and already sits far below the comparables-derived value; but a reader who preferred market weights should mark our blended base case down by approximately \$4 per share.

The honest summary is that our DCF does not support the current share price, let alone our target, and we do not rest the recommendation on it. Its role in the framework is as a discipline — a reminder of what the intrinsic-value floor looks like if the market stops paying for growth — not as the source of the valuation.

Exhibit 13: Base-Case DCF Value Bridge

Base-case DCF value bridge (US\$mn)

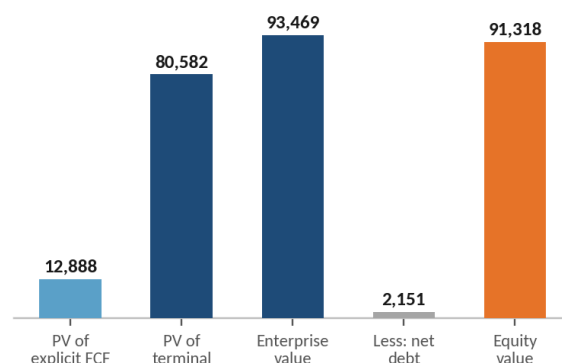


Exhibit 14: Peer Set — Operating & Valuation Metrics						(US\$mn, FY2026)
Company	Market cap	Revenue	EPS (\$)	FCF margin	Forward P/E (x)	EV/EBITDA (x)
Marvell Technology	228,783	8,195	2.9	17.0%	47.7	21.4
Broadcom (AVGO)	1,694,591	63,887	6.8	42.1%	20.4	42.3
NVIDIA (NVDA)	5,433,193	215,938	4.8	44.7%	18.0	32.8
Advanced Micro Devices (AMD)	1,003,335	34,639	4.2	19.4%	54.9	47.5
Intel (INTC)	647,950	52,853	0.4	(9.3%)	72.6	14.1
Qualcomm (QCOM)	207,102	44,141	12.0	29.0%	21.3	11.2
Sector median	825,643	48,497	4.5	24.2%	34.5	27.1
Sector average	1,535,826	69,942	5.2	23.8%	39.1	28.2

Peer multiples are as screened on 24 September 2026 against FY2026 reported financials. We apply the sector median rather than the mean throughout, because Intel's depressed earnings distort the mean forward P/E and AMD's multiple distorts the mean EV/EBITDA. Marvell's own market capitalisation is the screened figure; our per-share calculations use the reference price of \$254.16 and 870mn diluted shares.

What the Peer Set Actually Tells Us

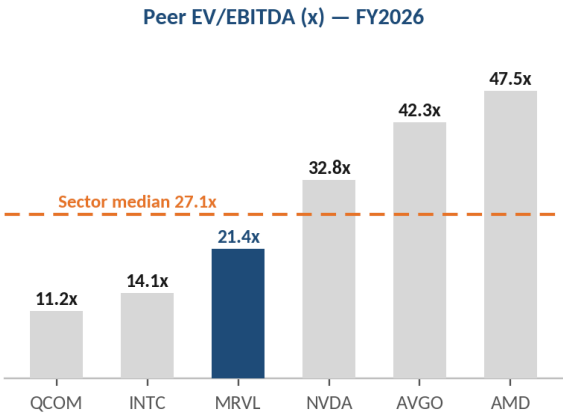
The superficial read of this table is that Marvell is expensive: 47.7x forward earnings against a 34.5x sector median, and the second-lowest free cash flow margin in the group at 17.0%. Both observations are correct and neither is decision-relevant, because the peer set is not comparable on current-year numbers.

Marvell is the only company in this group growing revenue above 45% with a mix shift of this magnitude still in front of it. Broadcom at 20.4x forward earnings and Nvidia at 18.0x are being valued on earnings bases that are already at scale; Marvell's FY2026 earnings base is roughly a third of what we forecast for FY2029E. Comparing current-year multiples across companies at different points in their earnings trajectory is precisely the error that produced the GAAP-screen mispricing described on page 3.

The comparison that carries information is on FY2029E figures. On our estimates Marvell trades at 18.5x FY2029E EV/EBITDA and 24.3x FY2029E earnings — a discount to where this peer group trades today on current-year numbers, on a company growing considerably faster than any of them. That is the argument, and it is the only version of the multiple comparison we would defend.

The FCF margin of 17.0% deserves a specific note. It is depressed by the working-capital absorption described on page 9 — receivables more than doubled in FY2026 as revenue accelerated — and recovers to 30.9% by FY2029E, within range of Broadcom and Nvidia today. This is a growth artefact, not a structural cash-conversion deficiency.

Exhibit 15: Peer EV/EBITDA



Implied Valuation — FY2029E	
EV/EBITDA approach	
FY2029E EBITDA	12,047
Sector median EV/EBITDA	27.1x
Implied enterprise value	326,474
Less: net debt	(2,151)
Implied equity value	324,323
Implied price per share	\$372.91
P/E approach	
FY2029E EPS	\$10.40
Sector median P/E	34.45x
Implied price per share	\$358.28
Average of two approaches	\$365.61

The P/E approach applies the sector median to FY2029E EPS of \$10.40, the rounded diluted figure; our unrounded estimate of \$10.47 would lift the implied price to \$360.69 and the final target by approximately \$0.68 — immaterial to the rating.

Cross-Check: What the Current Price Implies About Consensus

Reversing the framework is a useful discipline. At \$254.16 and 870mn diluted shares, Marvell's enterprise value is approximately \$223.3bn. Holding the sector median EV/EBITDA of 27.1x constant, the current price is consistent with FY2029E EBITDA of roughly \$8.24bn rather than our \$12.05bn — a shortfall of 32%. Translated into revenue at our FY2029E margin, that implies the market is discounting approximately \$18bn of FY2029 revenue against our \$26.3bn.

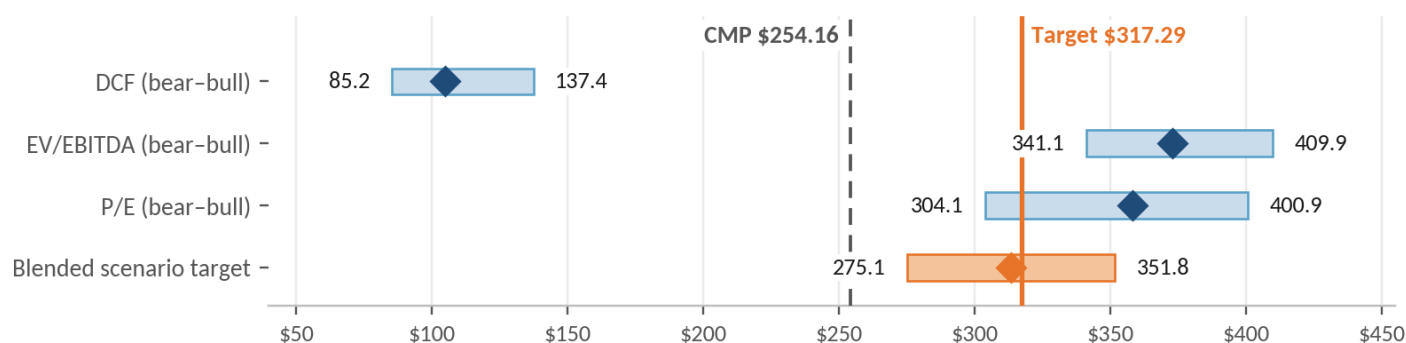
That is a useful way to frame what is actually in dispute. **\$18bn of FY2029 revenue is roughly management's FY2028 guidance** — in other words, the current price is consistent with Marvell delivering the FY2028 plan and then growing not at all for a further year. We regard that as an implausibly severe reading of a business with three contracted hyperscaler programmes, \$1bn of supplier prepayments committed and an optics franchise guided to grow over 70%. It is, however, the honest characterisation of the gap between our estimates and the market's.

The limitation we would flag on this page. Applying today's sector median multiple to FY2029E figures produces a three-year-forward value, not a twelve-month one. Discounted back at our 13.0% cost of equity, the base-case comparables value of \$365.61 is worth approximately \$253 today — almost exactly the current share price. Our target of \$317.29 therefore embeds an assumption that the market begins discounting FY2029 earnings during the next twelve months rather than at the end of them. That is how semiconductor equities have historically traded through an up-cycle, and it is consistent with Marvell's own re-rating over the past year, but it is an assumption about the timing of multiple recognition rather than about fundamentals. A reader who rejects it should regard the current price as fair and the stock as a HOLD.

Exhibit 16: Scenario Analysis

Parameter	Bear	Base	Bull
DCF drivers			
FY2026–29E revenue CAGR / FY2027–29E FCF CAGR	45% / 55%	48% / 60%	51% / 65%
Terminal growth rate	1.80%	2.80%	3.80%
WACC	12.0%	11.0%	10.0%
DCF implied price (\$)	85.20	104.90	137.43
Comparables drivers (applied to FY2029E)			
EBITDA (\$mn) / median multiple	11,407 / 26.2x	12,047 / 27.1x	12,673 / 28.3x
EV/EBITDA implied price (\$)	341.10	372.93	409.90
EPS (\$) / median multiple	9.30 / 32.7x	10.40 / 34.45x	11.23 / 35.7x
P/E implied price (\$)	304.10	358.28	400.90
Comparables average (\$)	322.60	365.61	405.40
Blended value (80% comparables, 20% DCF)	275.12	313.46	351.81
Probability weight	10%	70%	20%

Exhibit 17: Valuation Football Field — Implied Share Price Range (\$)



Diamonds mark base-case outcomes; bars span the bear-to-bull range. The DCF range sits entirely below the current price, for the reasons set out on page 10.

Why We Are Comfortable With These Scenario Weights

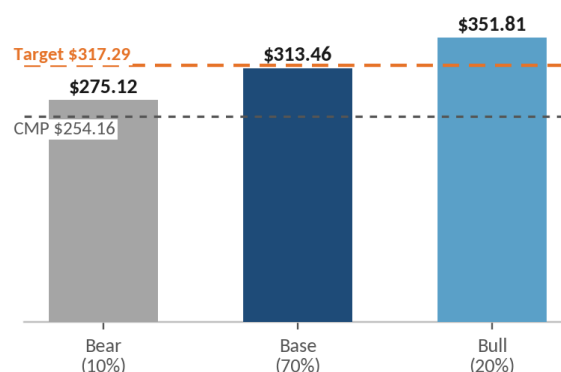
We assign 70% to the base case, 20% to the bull and only 10% to the bear. **The base case is the continuation of guidance already given:** FY2027 revenue of approximately \$12bn and FY2028 of approximately \$18bn are management's own raised numbers, and our estimates sit within 0.3% and 1.0% of them. It requires custom silicon to ramp on schedule, optics to grow in line with consensus rather than the fivefold volume scenario, gross margin to stabilise near 58%, and no socket losses — every component either already guided or already partially delivered.

The bear case requires a specific event, not a general disappointment — a socket loss at AWS or Microsoft, a cloud capex pause, or gross margin breaking into the mid-50s. We weight it at 10% because it needs one of a small number of discrete failures rather than a gradual shortfall, and even then the blended value is \$275.12, approximately 8% above the current price. **That is the asymmetry: the bear case is not a loss, it is a smaller gain.**

The bull case requires everything to fire simultaneously — custom silicon above \$11bn, optical volumes rising fivefold, XPU-attach passing \$3bn, Celestial AI at \$850mn and operating margin above 40%. We cap it at 20% because it depends on deployment schedules Marvell does not control.

Exhibit 18: Blended Value by Scenario

Blended value by scenario (US\$/share)



Price Target Derivation

Bear case (\$275.12 × 10%)	27.51
Base case (\$313.46 × 70%)	219.42
Bull case (\$351.81 × 20%)	70.36
12-month target price	\$317.29
CMP (24 September 2026)	\$254.16
Upside	24.8%

Rating rationale. An expected 12-month return of 24.8% clears our 15% BUY threshold with headroom. Absent estimate changes we would move to ACCUMULATE above ~\$276 and HOLD above ~\$302.

1. Socket Loss at a Key Hyperscaler — The Thesis-Breaking Risk

This is the most consequential risk to our view and the one with the most concrete supporting evidence against us. Alchip has reportedly secured the majority of Amazon's Trainium 3 business — a programme where Marvell had been the primary supplier, at the customer that represents over two-thirds of custom silicon revenue in FY2027. If AWS shifts further volume, or if Microsoft delays or cancels Maia, the FY2029E custom silicon forecast of above \$11bn misses dramatically and the equity re-rates immediately.

Mitigation: The ramp rests on three concurrent programmes rather than one, and AWS concentration falls from over two-thirds in FY2027 to approximately 50% in FY2028 as Maia and attach scale. Marvell's proprietary SerDes IP and full-service capability — design services, IP and manufacturing partnerships together — remain difficult for design-services firms such as Alchip to match on the most complex programmes. **We regard the high end of custom silicon as defended and the low end as genuinely contestable.**

2. AI Capex Cycle Deceleration

Marvell's growth is almost entirely predicated on sustained hyperscaler AI infrastructure spending. A pullback driven by recession, regulatory action or disappointment in AI return on investment would impair revenue directly and with very little lag. This is the largest systemic risk in the thesis and it is entirely outside management's control.

Mitigation: None that is credible at the company level. What partially offsets it is the breadth of Marvell's content: optics, switching and attach revenue are tied to infrastructure build-out generally rather than to any single compute architecture, so a mix shift within AI spending is survivable even though a contraction in the aggregate is not. Reflected in our bear case at a 10% weight.

3. Gross Margin Compression Beyond Our Forecast

Gross margin has fallen roughly 700bps in four years and is guided at 57.5–58.5% for Q3 FY2027. If custom silicon mixes up faster than modelled, or Broadcom prices aggressively into the optical DSP market to buy share, margins could break into the mid-50s.

Mitigation: Our FY2029E gross margin of 59.1% sits below every year prior to FY2026 — we model a floor, not a recovery. A 200bps miss reduces FY2029E EBITDA by approximately \$530mn, the comparables-derived value by roughly \$17 per share, and our probability-weighted target by approximately \$9.50, or 3%. Material but not thesis-breaking, and quantified in our bear case.

4. Optical Market Share Loss to Broadcom

Broadcom's entry into 800G and 1.6T DSP solutions directly targets Marvell's strongest position. Separately, adoption of linear pluggable optics would reduce DSP content per module — a technology-substitution risk rather than a share risk, and therefore harder to defend against.

Mitigation: Marvell's 2nm optical demonstrations at ECOC 2026 put it at least one process generation ahead, and the Celestial AI acquisition covers the co-packaged optics transition. Our forecasts assume share erosion from the current 60–70% rather than indefinite maintenance.

5. TSMC Dependency and Taiwan Geopolitical Concentration

As a fabless company relying primarily on TSMC at leading-edge nodes, Marvell has no viable second source. Any disruption to Taiwan's semiconductor ecosystem would be existential rather than merely damaging, and the approximately \$1bn of supplier prepayments is a direct measure of where the pricing power sits.

Mitigation: The AT&S and GlobalFoundries agreements diversify substrate and specialty process supply, but neither addresses leading-edge logic. This exposure is unhedged and is shared with every fabless peer.

6. China Revenue Exposure and Export Controls

36% of revenue ships to China-based destinations. As discussed on page 5, most of this is contract manufacturing for non-Chinese end customers, so true end-market exposure is materially lower — but export controls and tariffs apply at the point of shipment regardless of where demand originates.

7. Integration Risk from Celestial AI and XConn

Both acquisitions must be integrated without disrupting existing programmes during a period of rapid scaling. Failure to deliver the projected revenues would add amortisation drag without the revenue offset, compounding the GAAP earnings problem described on page 8.

8. Valuation and Rate Sensitivity

At 58.6x FY2027E adjusted earnings the shares have no valuation support on near-term numbers. Rising real rates compress long-duration growth multiples, and Marvell is acutely exposed: the 44% drawdown from the June peak to early August demonstrated how quickly this equity de-rates when AI sentiment turns, without any change in fundamentals.

9. Reliance on Non-GAAP Reporting and Acquisition Amortisation

Management discusses performance primarily on an adjusted basis, excluding share-based compensation and intangible amortisation. The divergence from GAAP has exceeded \$1bn annually and produced three consecutive years of reported net losses. While we regard the adjusted basis as correct for forward analysis, an investor base that migrates toward GAAP scrutiny — or an accounting change that narrows the permissible adjustments — would compress the headline multiple without any change in cash generation.

Risk Summary Matrix			
Risk	Likelihood	Impact	Reflected in
Socket loss at a key hyperscaler	Medium	High	Bear case revenue and custom silicon assumptions; 10% probability weight
AI capex deceleration	Low	High	Bear case; systemic and unhedged
Gross margin below 55%	Medium	Medium	We model a 59.1% FY2029E floor, below every pre-FY2026 year
Optical share loss to Broadcom	Medium	Medium	Share erosion assumed in base case
TSMC / Taiwan disruption	Low	Severe	Not modelled; not quantifiable
China export controls	Medium	Medium	Standing exposure; supports a lower multiple
Acquisition integration failure	Medium	Low	Celestial AI carried conservatively
Multiple compression on rates	Medium	High	Bear case WACC of 12.0%

Risk summary. The dominant risks, in order, are socket loss at a single hyperscaler, AI capex deceleration, and multiple compression driven by rates rather than fundamentals. All three are captured in our 10%-weighted bear case at \$275.12 — which remains above the current share price. The risk to this recommendation is therefore predominantly a risk to the *magnitude* of the return rather than to its sign, with the exception of a Taiwan disruption, which we cannot model.

Management Track Record

Matt Murphy has been Chief Executive since 2016. Under his tenure Marvell has executed one of the more complete strategic transformations in the semiconductor industry: from a diversified supplier of storage, networking and consumer silicon into a focused AI data infrastructure platform. Data centre revenue was 35% of the total in FY2021 and 74% in FY2026.

What has been delivered

- Built the technology stack through acquisition — Cavium (2018, ~\$6bn), Aquantia, Avera, Inphi (2021, ~\$10bn) and Innovium — assembling the custom silicon and electro-optics IP that now underpins the AI franchise.
- Secured simultaneous hyperscaler design wins at AWS, Microsoft, Google and Meta, across both custom silicon and optics — an execution record that no competitor other than Broadcom can match.
- Exited Automotive Ethernet for \$2.5bn in cash at a point when automotive semiconductor multiples were elevated, funding the AI investment cycle from a non-core disposal rather than from dilution.
- Raised FY2027 and FY2028 guidance at successive prints rather than trimming it — the most direct available evidence on forecasting credibility.

Where criticism is warranted

- Gross margin has declined every year since FY2023** and management has not framed a floor with the same specificity it applies to revenue targets. The mix shift was foreseeable; the communication around it has lagged.
- The Inphi and Cavium goodwill and intangible balances** — \$11.1bn and \$1.8bn respectively at FY2026 — produced three consecutive years of GAAP losses. The acquisitions were strategically correct and the prices paid were high.
- The Trainium 3 loss to Alchip** occurred at the anchor customer and has not been addressed directly in public commentary. We would want this explained at the October Investor Day.
- Reliance on non-GAAP presentation** is heavier than at most peers, and the gap has exceeded \$1bn annually.

Capital Allocation Track Record

Period	Priority	Actions and outcome
2018–2021	Build the technology stack	Cavium (~\$6bn), Aquantia, Avera, Inphi (~\$10bn) and Innovium acquired, assembling the custom silicon and electro-optics IP base. Strategically correct; the prices paid produced \$11.1bn of goodwill and the GAAP losses of FY2023–25.
2022–2024	Absorb the legacy downcycle	Carrier, enterprise and consumer revenue fell \$1.9bn while data centre nearly doubled. Capex held at 3.5–6.1% of sales throughout; no equity raised. The balance sheet was never a constraint through the trough.
2025	Prune and redeploy	Automotive Ethernet sold to Infineon for \$2.5bn cash at elevated automotive multiples, funding the AI investment cycle from disposal rather than dilution. The FY2026 financing outflow of \$2,158mn is where those proceeds went.
2026–27	Secure the ramp	XConn and Celestial AI acquired; \$2bn Nvidia investment received; ~\$1bn of supplier prepayments and binding AT&S and GlobalFoundries capacity agreements executed. Diluted share count rises only 5.1% from FY2026 to FY2029E.

The pattern is coherent and well-sequenced: acquire scarce engineering teams and IP at subscale, migrate them onto a common technology and manufacturing platform, prune the portfolio while demand is weak, then commit capital to capacity immediately ahead of the ramp. The criticism we would make is that no explicit return-on-invested-capital gate is disclosed against the roughly \$16bn of acquisition consideration deployed since 2018 — a discipline that would matter considerably more if the company re-entered an acquisition cycle from here.

What Would Change Our View

Signal	Implication
Upgrade toward the bull case	An FY2030 revenue framework above \$40bn articulated at the October Investor Day; custom silicon bookings confirming above \$11bn for FY2029; scale-up optical revenue guided materially above the prior \$300mn FY2028 expectation; confirmation that Marvell retains lead share on Trainium 4; gross margin stabilising above 58.5% for two consecutive quarters.
Downgrade toward the bear case	Any further socket loss at AWS or Microsoft; a cut to FY2028 revenue guidance; gross margin guided below 57% for a full year; hyperscaler capex guidance reductions at the major cloud providers; evidence that linear pluggable optics adoption is reducing DSP content per module faster than the 1.6T transition adds it.

The 6 October Investor Day is the single most important near-term event. We expect an updated long-term financial framework, a post-Celestial AI TAM and a detailed custom silicon and attach roadmap through FY2030. Given how much of the current valuation debate turns on the credibility of the FY2029 custom silicon number and on whether management will frame a gross margin floor, this is the event most likely to resolve the dispersion in published estimates in one direction or the other.

Growth Strategy — Six Vectors	
Vector	Ambition
Custom AI silicon	From ~\$1.6bn (FY2026) to above \$11bn (FY2029E) across AWS Trainium, Microsoft Maia and Google. Target ~20% of a \$40bn CY2028 market against 8–10% today.
Optical interconnect	1.6T platform at \$1bn annualised and ramping; DCI coherent growing over 100%; 2nm optical from FY2028. Defend 60–70% PAM4 share against Broadcom entry.
Co-packaged optics	Celestial AI: 16T between accelerators, AWS anchor, ~\$150mn CY2027 ramping to ~\$850mn CY2028.
XPU-attach	SmartNICs and CXL controllers against a \$14.6bn CY2028 TAM; more than doubling to over \$1bn in FY2028.
Scale-up interconnect	XConn (PCIe/CXL switching) plus Celestial AI to own the full stack from electrical switching to optical transport.
Nvidia ecosystem	NVLink Fusion integration as a platform strategy, plus joint silicon photonics development.

Delivered vs. Promised	
Pivot data centre above 70% of revenue	Achieved
Exit non-core automotive at attractive value	Complete
Simultaneous top-four hyperscaler wins	Achieved
Raise FY2027 and FY2028 guidance	Achieved
Secure multi-year supply capacity	Complete
Operating margin into 38–40% range	Q4 FY2027
Arrest gross margin decline	Not yet
Retain full Trainium share	Missed

On balance a strong record on portfolio strategy and customer acquisition, and a weaker one on margin management and on defending share at the low-complexity end of custom silicon.

Marvell is a company whose transformation is complete and whose payoff is not. The strategic repositioning — out of consumer, storage and automotive, into custom AI silicon, optics and interconnect — is finished and visible in the segment data: data centre revenue moved from 35% of the total in FY2021 to 74% in FY2026, and we model 92% by FY2029E. What remains unproven is the conversion of that position into the \$26bn revenue base and \$10.47 of earnings power we forecast for FY2029E.

The evidence for the conversion is better than the market's dispersion of estimates suggests. Q2 FY2027 revenue of \$2.74bn grew 37% year-over-year with data centre up 46%, and management raised both FY2027 and FY2028 guidance at that print rather than trimming. Approximately \$1bn of supplier prepayments and binding multi-year capacity agreements with AT&S and GlobalFoundries sit behind the FY2028 ramp — cash commitments that are difficult to reconcile with anything other than contracted volume. The custom silicon forecast rests on three concurrent programmes rather than one, and management has been explicit that the FY2028 number does not depend on the Google ramp, which is the FY2029 swing factor.

We initiate coverage on Marvell Technology Inc. with a BUY rating and a 12-month target price of \$317.29 per share, implying 24.8% upside from the current price of \$254.16. The target is derived by probability-weighting three scenarios (70% base, 20% bull, 10% bear), each blending a comparable-company valuation at 80% and a discounted cash flow at 20%. It implies 30.3x FY2029E adjusted earnings and 23.1x FY2029E EV/EBITDA — a discount to the 27.1x sector median on current-year numbers, applied to a company we expect to compound revenue at 47.6% and earnings at 53.6% over the same window.

We are deliberate about where this recommendation is weak. Our discounted cash flow produces \$105 per share and does not support the current price, let alone our target; we disclose that its terminal value is 86% of enterprise value and that market-weighted capital costs would reduce it further to approximately \$84. Our comparables approach applies today's multiples to FY2029E figures, which embeds an assumption that the market begins discounting FY2029 earnings within the next twelve months rather than at the end of them. **An investor who rejects that timing assumption should regard the shares as fairly valued today.** We accept it because it is how this sector has historically re-rated through an up-cycle and because Marvell's own twelve-month record demonstrates the mechanism.

The principal risk is a socket loss at a single hyperscaler, and Alchip's win on Trainium 3 is evidence that share at the anchor customer is contestable. We weight the bear case at 10% and note it still values the shares at \$275.12, approximately 8% above the current price. Across our scenario set the range of outcomes runs from a smaller gain to a larger one — with the exception of a Taiwan supply disruption, which we cannot model and do not attempt to.

Rating Scale	
Rating	Definition (12-month expected total return)
BUY	Expected return greater than 15%
ACCUMULATE	Expected return between 5% and 15%
HOLD	Expected return between -5% and 5%
REDUCE	Expected return between -15% and -5%
SELL	Expected return below -15%

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Coverage History				
Date	Action	Rating	TP (\$)	CMP (\$)
24-Sep-2026	Initiating Coverage	BUY	317.29	254.16

The Case in Six Numbers	
Data centre share of revenue, FY2029E	91.9%
Custom AI silicon revenue, FY2029E	>\$11bn
FY2026-29E revenue CAGR	47.6%
FY2026-29E adjusted EPS CAGR	53.6%
EBITDA margin expansion, FY2026-29E	+620bps
EV/EBITDA at CMP on FY2029E	18.5x

Our FY2029E gross margin of 59.1% sits below every year prior to FY2026. Every figure above is delivered without assuming any recovery in gross margin.

Investment Summary at a Glance

Metric	FY2026A	FY2027E	FY2028E	FY2029E
Revenue (\$mn)	8,195	12,037	18,180	26,336
Revenue growth (%)	42.1	46.9	51.0	44.9
Gross margin (%)	59.5	58.4	58.1	59.1
EBITDA (\$mn)	3,240	4,873	7,796	12,048
EBITDA margin (%)	39.5	40.5	42.9	45.7
Adjusted PAT (\$mn)	2,518	3,842	6,230	9,567
Adjusted EPS (\$)	2.89	4.34	6.98	10.47
Unlevered FCF (\$mn)	1,531	3,155	5,042	8,141
Return on equity (%)	18.2	23.8	30.8	36.5
P/E at CMP (x)	87.8	58.6	36.4	24.3
EV/EBITDA at CMP (x)	68.9	45.8	28.6	18.5
P/E at target price (x)	109.6	73.2	45.4	30.3

The single sentence version. Marvell has completed the hardest part of becoming an AI infrastructure company and has not yet been paid for it: at 18.5x FY2029E EV/EBITDA against a 27.1x sector median, the market is pricing roughly \$18bn of FY2029 revenue against our \$26.3bn, and the gap closes if three already-contracted hyperscaler programmes ramp broadly on the schedule management has guided.

What we are not saying. We do not argue that Marvell displaces Broadcom, that gross margin recovers, or that the legacy segment returns to growth. None of those are in our numbers. The case requires only that the guided ramp is delivered.

Disclaimer

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